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Causes of Business Risks

Business risks arise due to a variety of causes, which are classified as follows:

(i) Natural Causes

Human beings have little control over natural calamities like flood, earthquake, lightning, heavy rains, famine, etc. These result in heavy loss of life, property, and income in business.

(ii) Human Causes

Human causes include such unexpected events like dishonesty, carelessness or negligence of employees, stoppage of work due to power failure, strikes, riots, management inefficiency, etc.

(iii) Economic Causes

These include uncertainties relating to demand for goods, competition, price, collection of dues from customers, change of technology or method of production, etc. Financial problems like rise in interest rate for borrowing, levy of higher taxes, etc., also come under this type of causes as they result in higher unexpected cost of operation of business.

(iv) Other Causes

These are unforeseen events like political disturbances, mechanical failures such as the bursting of boiler, fluctuations in exchange rates, etc. which lead to the possibility of business risks.

15.04 Insurance Regulatory Development Authority of India (IRDAI)

IRDAI – Insurance Regulatory Development and Authority of India is the statutory, independent and apex body that governs, regulates and supervises the Insurance Industry in India. It was constituted in the year 2000 by Parliament of India Act called IRDAI Act, 1999. Presently IRDAI headquarters is in Hyderabad.

Organisational Setup of IRDAI

IRDAI is a ten member body consists of

i. One Chairman (For 5 years & Maximum age – 60 years)

ii. Five whole-time Members (Not 5 years and Maximum Age – 62)



1. Employee Group Insurance in India.

2. Passengers (All transport) Insurance Scheme.



For future Learning

David beckham, the famous football player from the UK first insured his legs for about 100 million pounds. as he became one of the most populous soccer players in the world, he insured his whole body for $195 million to cover the risks of injury, illness, and disfigurement. This policy would cover him financially if he were to lose any of the endorsements that depended on his looks. $195 is approximately equal to $12,337.65 million.